Warner Bros. Discovery, Inc.

The Strike Cash Is Real, the Ad Decline Is Not Cyclical: Deleveraging Still Needs Three More Years

WBD, NasdaqGS

NEUTRAL

Price (13 Nov 2023):	**$9.89**
Price Target (Dec-24):	**$11.00**

INVESTMENT THESIS

We initiate on Warner Bros. Discovery at Neutral with a Dec-24 target of $11.00, ~11% above the $9.89 close of 13 November. Six days ago the shares fell 19% in a single session, to a 2023 closing low of $9.40 on 80.2m shares, against a Q3 print that was in most respects good: adjusted EBITDA of $2,969m rose 22% and free cash flow of $2,059m compared with an outflow of $192m a year earlier. The market was not pricing the quarter. It was pricing what CFO Gunnar Wiedenfels said about the year after it: "It is unlikely from today's perspective that we will hit our target leverage range by the end of 2024 without a meaningful recovery of the TV ad market." That is the debate in one sentence, and we think the market read it correctly.

This is an equity that is 36% of an enterprise. On our numbers market capitalisation is $24.1bn against net debt of $42.9bn, so a $67.0bn enterprise value trades on 6.5x LTM adjusted EBITDA of $10,332m. Every half-turn of that multiple is worth roughly $2.20 per share, or 22% of the equity. Deleveraging genuinely transfers value: $11.8bn of debt has gone since the merger closed and gross debt is down to $45.3bn. But 4.4x gross against a stated 2.5x to 3.0x target means another $12bn to $18bn of repayment, which at our estimated free cash flow is three to four and a half more years. Meanwhile 74% of Q3 segment EBITDA came from Networks, where advertising fell 13% ex-FX and management saw no Q4 improvement. The cash is real, the debt is real, and the asset generating both is shrinking.

- Free cash flow is partly borrowed from 2024: the CFO's own list of next year's headwinds leads with "the return to a normal content capital spend" now that both strikes are settled.
- Gross leverage of 4.4x versus a 2.5-3.0x target needs $12-18bn more repayment, three to four and a half years at ~$4bn a year.
- Networks produced 74% of Q3 segment EBITDA with advertising down 13% ex-FX; DTC at $111m does not yet replace it.

COMPANY OVERVIEW

Warner Bros. Discovery was created on 8 April 2022 by combining Discovery, Inc. with AT&T's WarnerMedia, and reports three segments. On Q3'23 revenue of $9,979m the split was Studios $3,226m (Warner Bros. Pictures, Warner Bros. Television, DC, games), Networks $4,868m (CNN, TNT, TBS, Discovery Channel, HGTV, Food Network, Eurosport) and Direct-to-Consumer $2,438m (Max, HBO, discovery+), before inter-segment eliminations.

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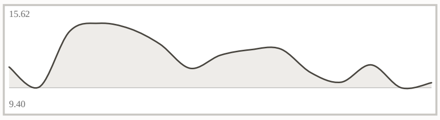
PRICE PERFORMANCE



Month-end closes Nov-22 to Oct-23 plus the 7, 8 and 13 Nov 2023 closes. The 8 Nov close of $9.40, the day of the Q3 print, was the 2023 low.

COMPANY DATA

Shares O/S (mm)	**2,439**
Market Cap ($bn)	**24.1**
Gross Debt ($bn, 30 Sep)	**45.3**
Net Debt ($bn, 30 Sep)	**42.9**
Enterprise Value ($bn)	**67.0**
Net Leverage (LTM)	**4.2x**
EV / LTM Adj. EBITDA	**6.5x**
52-Week Range (close)	**$8.87 - $15.94**
52-Week Price Change	**-15.8%**
Avg. Daily Volume (20d, mm)	**24.4**
Debt Duration / Cost	**14.9 yrs / 4.7%**
FY23E FCF Yield (mkt cap)	**22.0%**
DTC Subscribers (mm)	**95.1**
DTC ARPU (global)	**$7.82**
Beta | Short Interest	**- | -**
Dividend	**None**
Fiscal Year End	**December**

KEY METRICS / ESTIMATES

($mm unless stated)	FY22A	FY23E	FY24E	FY25E
Revenue	33,817	41,300	41,000	-
Adj. EBITDA	7,718	10,750	10,800	10,900
margin	22.8%	26.0%	26.3%	-
Free cash flow	3,317	5,300	4,000	4,300
Net debt ($bn)	45.6	40.4	36.4	32.1
Net leverage	-	3.8x	3.4x	2.9x
EV / Adj. EBITDA	-	6.2x	6.2x	-
Diluted EPS	$(3.82)	-	-	-

FY22A per the Q4'22 earnings release (23 Feb 2023). FY23E adjusted EBITDA is the midpoint of company guidance of $10.5-11.0bn issued 5 September 2023; FY23E free cash flow of $5.3bn reflects CFO Gunnar Wiedenfels' framing on the Q3 call of 8 Nov 2023 ("in this $5.3 billion range give or take"). FY23E revenue, all FY24E and FY25E lines and the net debt path are analyst-derived, not published consensus, which could not be dated to on or before 14 Nov 2023 from an unpaywalled source. Net debt is projected by deducting estimated free cash flow from the $42.9bn reported at 30 Sep 2023. Further sourcing detail is set out under Important Disclosures.

The DTC platform was relaunched as Max in the United States on 23 May 2023, merging HBO Max and discovery+ into one service. Global DTC subscribers were 95.1m at 30 September, 52.6m domestic and 42.5m international, at a global ARPU of $7.82. David Zaslav is President and CEO and Gunnar Wiedenfels is CFO. The company pays no dividend and has retired $11.8bn of debt since the merger closed.

Q3 2023 RESULTS AND THE STRIKE EFFECT

Q3'23, reported before the open on 8 November, was a strong operating quarter and a bad day. Revenue of $9,979m rose 2% (1% ex-FX). Total adjusted EBITDA of $2,969m rose 22%, operating cash flow was $2,516m against $124m a year earlier, and free cash flow was $2,059m against an outflow of $192m. The net loss available to WBD narrowed to $(417)m, or $(0.17) per diluted share, from $(2,308)m and $(0.95). The shares closed down 19% at $9.40, the lowest close of 2023, and had recovered only to $9.89 by 13 November.

The reason is visible in the mix. Networks, which carried 74% of Q3 segment adjusted EBITDA, saw revenue fall 7% ex-FX to $4,868m and adjusted EBITDA fall 9% ex-FX to $2,396m. Networks advertising of $1,709m fell 13% ex-FX; total company advertising of $1,796m fell 12% (13% ex-FX). Wiedenfels was blunt on the call: "The state of the overall linear ad market during the second half of this year has been disappointing." Zaslav added that the company was "unfortunately not seeing the improvement in Q4 that I think many had hoped to see earlier in the year." Distribution revenue was more resilient, with Networks distribution down only 2% ex-FX, but affiliate pricing cannot indefinitely offset a 13% advertising decline.

Studios revenue rose 3% ex-FX to $3,226m while adjusted EBITDA fell 6% ex-FX to $727m, with television production and studio services held back by the work stoppages. Direct-to-Consumer delivered adjusted EBITDA of $111m, a $745m year-on-year improvement, on revenue of $2,438m (+5% ex-FX) and DTC advertising of $138m (+29% ex-FX). Subscribers fell 0.7m sequentially to 95.1m, the second consecutive quarterly decline, with global ARPU at $7.82 (+6% ex-FX).

The cash number deserves scepticism, and the company supplied the reason for it. The release attributes the free cash flow improvement to "higher operating profits combined with working capital improvements, in addition to lower content spend due to WGA and SAG-AFTRA strikes and a more disciplined approach to content investment." Both disputes are now over. The WGA strike ran from early May to 27 September; SAG-AFTRA struck on 14 July and reached a tentative deal on 8 November, with the strike ending the following day and a ratification vote still to come. Content production restarts, and the cash it consumes returns. Management had already cut FY23 adjusted EBITDA guidance on 5 September to $10.5-11.0bn from a "low- to mid-$11 billion range", citing a $300-500m strike impact, so the strikes hurt profit while helping cash. That asymmetry reverses in 2024.

Asked about next year, Wiedenfels listed the tailwinds first: "around $1 billion tailwind of cash cost to achieve largely going away, #2 lower cash interest expense and #3 further progress in AR and AP driven working capital initiatives." Then the offsets: "a potential further decline in U.S. advertising and of course, the return to a normal content capital spend, as well as the incremental growth investments." He framed the year plainly: "much like 2023, 2024 will have its share of complexity, particularly as it relates to the possibility of continued sluggish advertising trends." For the current year he guided free cash flow to roughly $5.3bn, in line with the trailing twelve months. We model $4.0bn for FY24, a 25% step down, and we regard that as the central case rather than a bear case.

FINANCIAL SUMMARY

Warner Bros. Discovery, Inc. -- Summary Financials

$ in millions unless stated	FY22A	9M23A	FY23E	FY24E
Total revenues	**33,817**	**31,037**	**41,300**	**41,000**
Advertising	8,524	6,613	-	-
Distribution	16,142	15,324	-	-
Content	8,360	8,240	-	-
Total Adjusted EBITDA	**7,718**	**7,729**	**10,750**	**10,800**
Adj. EBITDA margin	22.8%	24.9%	26.0%	26.3%
Studios Adj. EBITDA	1,772	-	-	-
Networks Adj. EBITDA	8,725	-	-	-
Direct-to-Consumer Adj. EBITDA	(1,596)	158	-	-
Net loss available to WBD	(7,371)	(2,726)	-	-
Diluted EPS	$(3.82)	$(1.12)	-	-
Cash from operating activities	4,304	3,899	-	-
Free cash flow	**3,317**	**2,851**	**5,300**	**4,000**
Gross debt, period end ($bn)	49.5	45.3	-	-
Net debt, period end ($bn)	**45.6**	**42.9**	**40.4**	**36.4**
Net leverage (LTM adj. EBITDA)	-	4.2x	3.8x	3.4x
DTC subscribers, period end (mm)	96.1	95.1	-	-

Source: WBD Q4/FY2022 earnings release (23 Feb 2023), Q1'23 release (5 May 2023), Q2'23 release (3 Aug 2023) and Q3'23 release and Form 10-Q (8 Nov 2023), all via SEC EDGAR and the company's investor site; Q3 2023 earnings call transcript (8 Nov 2023); Akul Veauli Securities LLC estimates. 9M23 Total Adjusted EBITDA of $7,729m and 9M23 DTC Adjusted EBITDA of $158m are the arithmetic sums of the three reported quarters ($2,611m, $2,149m and $2,969m; DTC $50m, $(3)m and $111m); the company does not publish a nine-month segment table in the release. Year-on-year comparisons against FY22A and 9M22 are distorted because WarnerMedia was consolidated only from 8 April 2022, and the FY23E revenue growth implied above (+22%) is therefore not an organic rate. FY23E Adjusted EBITDA is the midpoint of company guidance of $10.5-11.0bn (8-K, 5 September 2023); FY23E free cash flow reflects CFO commentary of "$5.3 billion range give or take" on the Q3 call. FY23E revenue and all FY24E figures are analyst-derived. Net debt for FY23E and FY24E is projected by deducting estimated free cash flow from the $42.9bn reported at 30 Sep 2023 and assumes no buybacks, dividends or acquisitions. The company's stated gross debt of $45.3bn differs from the $44,800m carrying value on the 30 Sep balance sheet ($1,302m current, $43,498m non-current), which is net of unamortised discount and issuance costs and excludes $258m of finance leases. "-" indicates a figure the company does not disclose on that basis, or a forward estimate we decline to fabricate: segment-level and revenue-category forecasts, GAAP net income and EPS forecasts, and forward gross debt are not published by the company and were not obtainable as dated consensus.

THE BALANCE SHEET IS THE INVESTMENT CASE, AND IT IS NOT WINNING FAST ENOUGH

WBD has done what it said it would do. In Q3 alone it retired $2.4bn of debt: $1.9bn of senior notes through the August tender, $250m of the April 2025 term loan, $178m of September 2023 notes at maturity and $95m of other notes. A further $600m of the April 2025 term loan was repaid on 8 November, leaving $550m outstanding and taking total repayment since the merger closed to $11.8bn. Gross debt is $45.3bn against cash of $2.4bn, so net debt is $42.9bn and net leverage 4.2x LTM adjusted EBITDA of $10,332m. The maturity profile is genuinely defensive: average duration of 14.9 years at an average cost of 4.7%. There is no refinancing cliff and no covenant problem. This is not a distressed balance sheet.

It is, however, a balance sheet that consumes the entire equity story. The stated objective is a gross leverage range of 2.5x to 3.0x, and Wiedenfels reaffirmed it on the call: "We are fully committed to our gross leverage target range of 2.5 to 3 times adjusted EBITDA." Gross leverage today is 4.4x. On our FY24E adjusted EBITDA of $10.8bn, 3.0x implies gross debt of $32.4bn and 2.5x implies $27.0bn, against $44.7bn pro forma for the November repayment. That is $12.3bn to $17.7bn of further repayment. At $4.0bn to $4.3bn of annual free cash flow, and assuming every dollar of it goes to debt, the target range is reached somewhere between 2027 and 2028. Zaslav's nearer-term claim, that the company "will be meaningfully below 4 times net levered" by the end of Q4, is achievable: our estimate is 3.8x net. But 3.8x net is 4.2x gross, and the gap to target is the point.

The CFO did not pretend otherwise. His concession that hitting the range by end-2024 is "unlikely" without "a meaningful recovery of the TV ad market" is the most important sentence of the quarter, because it makes the deleveraging schedule a function of the one line item the company cannot control. Advertising was 18% of Q3 revenue and is falling at a low-teens rate. If linear advertising declines another 8% in 2024 rather than stabilising, roughly $500m of high-margin revenue disappears, EBITDA falls with it, and the leverage ratio moves against the company from both the numerator and the denominator simultaneously. Cost self-help is largely spent: Zaslav told the call he expects "$4 billion total synergy to have flowed through until the end of this year" with initiatives implemented to generate "$5 billion of run rate".

STREAMING IS IMPROVING; IT IS NOT YET A SUBSTITUTE

The DTC turnaround is the strongest part of the equity case and we do not want to understate it. Segment adjusted EBITDA has gone from $(1,596)m in FY22 to $158m across the first nine months of 2023, a swing of well over $1.7bn on an annualising basis, achieved without a subscriber tailwind. Management guided in May that the US DTC business would be profitable in 2023, "a year ahead of our guidance", and on the Q3 call said the segment was "on track to at least break even or even profitable" for the full year. DTC advertising grew 29% ex-FX off a small base, and ARPU rose 6% ex-FX to $7.82.

The problem is scale and direction. Subscribers fell 0.7m in the quarter to 95.1m, the second consecutive decline, and 95.1m is below the 96.1m at the end of 2022. A service that is not adding subscribers is monetising a fixed base, which caps how far ARPU and advertising can carry the segment. At $111m of quarterly EBITDA, DTC is offsetting roughly one quarter's worth of the Networks decline. On our FY24E segment mix, Networks still contributes $8.9bn of adjusted EBITDA against $0.8bn from DTC. The arithmetic that matters is not whether streaming becomes profitable, which it now plainly is, but whether it can grow fast enough to replace a business shrinking by high single digits from eleven times the base. On current trajectories it cannot, and Zaslav essentially said so: "This is a generational disruption we're going through. Going through that with a streaming service that's losing billions of dollars, it's really difficult to go on offense."

Two forward items belong on the reader's radar without being scored here. The Studios slate and television pipeline restart from a standing start after seven months of disruption, which is a 2024 cash cost before it is a 2025 revenue benefit. And WBD's domestic NBA rights run through the 2024-25 season, so renewal economics will be negotiated against a linear business with materially less advertising revenue than when the current deal was struck. We take no view on the outcome; we note that the option is expensive either way.

VALUATION AND PRICE TARGET

Our $11.00 Dec-24 target is the equal-weighted average of three anchors, each built on FY24E adjusted EBITDA of $10.8bn, FY24E free cash flow of $4.0bn, projected year-end 2024 net debt of $36.4bn and 2,438mm diluted shares. (1) Enterprise multiple: 6.0x FY24E adjusted EBITDA gives a $64.8bn enterprise value; deducting net debt leaves $28.4bn of equity, or $11.65 per share. The 6.0x target is half a turn below the 6.5x the market pays today, which we regard as the correct direction for an asset whose linear cash flows are one year shorter. At 5.5x the anchor is $9.43 and at 6.5x it is $13.86. (2) Equity free cash flow yield: $4.0bn capitalised at 15%, appropriate for a 3.4x-levered equity with a declining core, gives $26.7bn, or $10.94 per share. At 18% the anchor is $9.11 and at 12% it is $13.67. (3) Sum of the parts: Networks at 4.5x $8.9bn, Studios at 8.0x $2.4bn, DTC at 12.0x $0.8bn and corporate at 6.0x $(1.3)bn gives a $61.1bn enterprise value and $10.11 per share. The simple average is $10.90, rounded to $11.00, an implied return of +11.2% with no dividend, which maps to Neutral under our >15% and <0% thresholds.

We want the reader to see how thin that is. Because equity is only 36% of enterprise value, the rating turns on a half-turn of multiple. Running all three anchors on bearish settings, 5.5x, an 18% yield and Networks at 4.0x, produces $8.94 and an Underweight. Running them on bullish settings, 6.5x, a 12% yield and Networks at 5.0x with Studios at 9.0x and DTC at 14.0x, produces $13.70 and an Overweight. Our target crosses into Overweight at $11.37 and into Underweight below $9.89. An analyst who believes linear advertising stabilises in 2024 should own the stock; an analyst who believes it declines at 8% or worse should not. We sit between those, closer to the second, and the honest expression of that is Neutral rather than a false precision either way.

Two disclosures on the inputs. First, we deliberately do not use a consensus price target as a valuation anchor, because we could not date a full consensus mean to on or before 14 November 2023 from an unpaywalled source. The published targets we can date, all set in the two sessions after the print, are Wells Fargo at $13 (Equal Weight, cut by $3), MoffettNathanson at $15 (Market Perform), Macquarie at $18 (Outperform) and TD Cowen at $24 (Outperform), with Guggenheim at Neutral and no published target. Their $17.50 average sits 77% above the market price. Including it at a 20% weight would lift our target to roughly $12.50 and flip the rating to Overweight; we state that plainly rather than bury it, and we decline to do it because a four-name sample from a single trade-press report is not a consensus, and because targets that have been cut repeatedly through 2023 are a lagging indicator of the debate rather than a resolution of it. Second, GAAP earnings are not a usable anchor. Nine-month depreciation and amortisation of $5,961m, most of it purchase-accounting amortisation of WarnerMedia intangibles, means the $(1.12) nine-month loss per share tells you about the merger, not about the business.

At our target WBD would carry a $26.8bn market capitalisation, a $63.2bn enterprise value, 5.85x FY24E adjusted EBITDA and a 14.9% equity free cash flow yield. That is not a demanding valuation, and we do not claim the stock is expensive. We claim that it is fairly priced for what it is: a highly levered holder of a declining but cash-generative linear asset, a profitable but sub-scale streaming asset and a studio with a rebuilding slate, in which the equity holder is second in line to $45bn of creditors for at least three more years of cash flow.

UPSIDE RISKS

Risks that would drive the shares above our price target include, but are not limited to, the following:

- Linear advertising stabilises. Our whole target rests on continued high-single-digit decline. Flat 2024 advertising would add roughly $500m of near-100%-margin revenue, lift FY24E adjusted EBITDA above $11.3bn and, on unchanged multiples, add about $1.20 per share.
- Free cash flow does not step down as far as we assume. The CFO's tailwind list is specific and quantified at the top: "around $1 billion tailwind of cash cost to achieve largely going away", plus lower cash interest and working capital progress. FY24 free cash flow of $5.0bn rather than $4.0bn is worth about $0.40 per share through the net debt bridge alone.
- Deleveraging compounds in the equity holder's favour. With equity at 36% of enterprise value, every $1bn of debt repaid at a constant multiple is worth $0.41 per share. Three years of $4bn free cash flow is $12bn, or roughly $5 per share of mechanical transfer if the multiple holds.
- DTC inflects rather than plateaus. The segment swung $745m year-on-year in Q3 and turned profitable a year ahead of plan. International Max rollouts and a full year of advertising-tier monetisation could take FY25 DTC adjusted EBITDA well above the $0.8bn we carry for FY24.
- The post-strike slate lands. Both disputes are settled and production restarts across the industry. A normal Warner Bros. film and television release schedule from late 2024 restores Studios licensing revenue that was simply absent in 2023.
- Sentiment and positioning are washed out. The stock closed at a 2023 low six days ago on 80.2m shares and sits 38% below its 52-week closing high of $15.94, with every dated sell-side target above the market price.
- Strategic optionality on a $24bn equity. Three separable assets, an unwind of the Discovery-WarnerMedia structure, or disposals of non-core networks would each be a way of shortening the deleveraging path that our model does not credit.

DOWNSIDE RISKS

Risks that would drive the shares below our price target include, but are not limited to, the following:

- Leverage is the dominant risk and it is arithmetic, not opinion. Gross debt of $45.3bn against a 2.5-3.0x target requires $12-18bn of further repayment. Every half-turn of enterprise multiple lost is worth roughly $2.20 per share, 22% of the equity, because equity is only 36% of enterprise value.
- The company has already conceded the leverage target slips. Wiedenfels: "It is unlikely from today's perspective that we will hit our target leverage range by the end of 2024 without a meaningful recovery of the TV ad market." The schedule is therefore hostage to the one variable management does not control.
- 2023 free cash flow is partly borrowed from 2024. The company itself attributes the improvement in part to "lower content spend due to WGA and SAG-AFTRA strikes". Both are settled, production restarts, and "the return to a normal content capital spend" is on the CFO's own list of 2024 headwinds.
- Linear advertising is deteriorating, not pausing. Networks advertising fell 13% ex-FX in Q3 and management saw no Q4 improvement. Networks still supplies 74% of segment adjusted EBITDA; an 8% annual decline in that segment removes roughly $700m of EBITDA a year, more than the entire current DTC contribution.
- Subscribers are going backwards. DTC fell 0.7m sequentially to 95.1m, below the 96.1m at end-2022. Profitability driven by ARPU and cost discipline on a shrinking base is a different, and lower-quality, proposition than profitability driven by growth.
- Cost self-help is largely exhausted. With $4bn of synergies flowed through by year-end and $5bn of run-rate initiatives implemented, the margin improvement that carried 2023 adjusted EBITDA up 22% in Q3 does not repeat at that scale in 2024.
- Sports rights renewals arrive at the worst point in the cycle. Domestic NBA rights run through the 2024-25 season. Retention at a higher cost compresses Networks margin; loss of the package removes a principal reason distributors carry the networks at current rates.
- Guidance credibility is thin. FY23 adjusted EBITDA guidance was cut on 5 September to $10.5-11.0bn from a "low- to mid-$11 billion range" within the same year it was set. Investors are being asked to underwrite a multi-year deleveraging plan from a company that has already revised a four-month-old forecast.
- Earnings are absent and the multiple has no earnings floor. The nine-month loss was $(2,726)m, or $(1.12) per share, and there is no dividend. There is no yield support and no GAAP earnings anchor beneath the stock, only the free cash flow line.
- Reflexivity between the debt and the equity. If the shares stay near $10 the company cannot use equity to accelerate deleveraging, which prolongs the period during which all free cash flow accrues to creditors, which is precisely why the shares are near $10.
- Volatility and event risk. A 19% single-day fall on a quarter in which EBITDA grew 22% shows how the market is trading the outer years rather than the print, and a $8.87 to $15.94 52-week closing range on a 24.4mm average daily volume makes position sizing a material consideration.

ANALYST CERTIFICATION

I, Akul Veauli, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject company and its securities. I also certify that no part of my compensation was, is, or will be directly or indirectly related to the specific recommendations or views expressed in this report. This report is a template and style exercise; the named individual and firm are fictitious and this certification is illustrative only.

IMPORTANT DISCLOSURES

Estimate and market-data sourcing, continued from the cover page. EV of $67.0bn and multiples are computed on the $9.89 close of 13 Nov 2023 and 2,438mm diluted shares. FY22A net leverage is shown as "-" because the company's stated 5.0x at 31 Dec 2022 was computed on a basis implying ~$9.1bn of EBITDA, above FY22 reported adjusted EBITDA of $7,718m, and is not comparable with the LTM basis used from 2023. FY25E revenue, margin and EV multiple, and all forward EPS, are omitted rather than estimated; GAAP EPS is not a meaningful valuation input given $5,961m of nine-month depreciation and amortisation.

This report is a formatting and style exercise created for demonstration purposes. "Akul Veauli" and "Akul Veauli Securities LLC" are fictitious. Warner Bros. Discovery, Inc. (NasdaqGS: WBD) is a real company, and the historical financial and operating data cited in this note are drawn from public filings, company press releases, earnings-call transcripts and third-party market-data sources; the rating, price target, estimates and analyst commentary, however, are the illustrative output of a stated mechanical formula and do not represent a real research view.

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Point-in-time basis: this note is written as at 14 November 2023 and uses no information published after that date. Market data are as at the close of 13 November 2023, the last trading session before the note date. The $9.89 close, the $9.40 close of 8 November, the month-end closes used in the price chart, the $8.87 to $15.94 52-week closing range (28 December 2022 and 27 February 2023), the -15.8% 52-week price change and the daily volumes from which the 24.4mm twenty-session average was computed were sourced from a public historical price service; the 52-week range is stated on a closing basis and the intraday range is wider. Beta and short interest are shown as "-" because neither could be sourced on a basis dated on or before 14 November 2023, and current-day values for either would be a point-in-time error rather than an approximation.

Estimate sourcing: FY2023E adjusted EBITDA of $10.75bn is the midpoint of company guidance of $10.5-11.0bn issued on 5 September 2023, which replaced a prior "low- to mid-$11 billion range" and reflected a stated $300-500m strike impact. FY2023E free cash flow of $5.3bn follows CFO Gunnar Wiedenfels' framing on the Q3 2023 earnings call of 8 November 2023. FY2023E revenue and all FY2024E and FY2025E figures, including the segment mix used in the sum-of-the-parts, are analyst-derived and are not published consensus, which could not be dated to on or before 14 November 2023 from an unpaywalled source. The net debt path assumes all free cash flow is applied to debt with no buybacks, dividends or acquisitions. Figures that could not be verified against a datable public source are marked "-" rather than estimated. Management quotations are taken from the Q3 2023 earnings release and the Q3 2023 earnings call transcript, both dated 8 November 2023, and from the Q1 2023 earnings release dated 5 May 2023.

The price performance chart plots reported month-end closing prices from November 2022 to October 2023 together with the closes of 7, 8 and 13 November 2023. It is not a tick-accurate daily series and should not be read as complete market data.

Nothing in this document constitutes investment advice, an offer, or a solicitation to buy or sell any security. No recipient should rely on any information in this document for any actual investment decision.

RATING DEFINITIONS

Overweight: total return expected to exceed the average total return of the analyst's coverage universe over the next 6-12 months. Neutral: total return expected to be broadly in line with that average. Underweight: total return expected to be below that average. For this note the rating was applied mechanically to the implied twelve-month total return from the derived price target: Overweight above +15%, Underweight below 0%, Neutral otherwise. WBD's implied return of +11.2%, computed as the $11.00 target against the $9.89 close of 13 November 2023 with no dividend, maps to Neutral. The rating would flip to Overweight at a target above $11.37 and to Underweight at a target below $9.89. These definitions are illustrative, generic sell-side rating conventions provided for template purposes only.

GENERAL DISCLAIMER